



Bill Number: S.B. 1787

Petersen Floor Amendment

Reference to: printed bill

Amendment drafted by: Jason Theodorou

FLOOR AMENDMENT EXPLANATION

1. Specifies that an applicant may appeal directly to the Attorney General if objecting to the methodology, supporting information or conclusions in an individualized determination.
2. Requires the Attorney General to treat an appeal as a request made in accordance with statutory requirements for investigating a county, city or town for an alleged violation of state law or the Arizona Constitution.
3. Removes the specification that an appeal may be filed at the time the applicant receives the individualized determination.
4. Removes the authorization for an applicant to file an appeal with other matters that arise in the permit review process that is related to the application.
5. Requires the Attorney General, if an applicant is successful in an appeal, to deem the exaction excessive and waive the exaction.
6. Requires the Attorney General, if the applicant is successful in an appeal after proceeding under protest to satisfy an exaction, to direct the municipality or county to compensate the applicant for any costs that the applicant has expended in furtherance of the excessive exaction.
7. Excludes development fees from the definition of *exaction*.
8. Narrows the definition of *proposed project* to any application for use or development of residential real property.
9. Makes conforming changes.

PETERSEN FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1787
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 9, chapter 4, article 6.2, Arizona Revised
3 Statutes, is amended by adding section 9-463.07, to read:

4 9-463.07. Exactions; mitigation costs; individualized
5 determination; appeal; protest; definitions

6 A. NOTWITHSTANDING ANY OTHER LAW, A MUNICIPALITY MAY NOT IMPOSE AN
7 EXACTION ON AN APPLICANT FOR ANY PROPOSED PROJECT WITHOUT A WRITTEN NOTICE
8 TO THE APPLICANT OF THE REQUIRED EXACTION.

9 B. ON RECEIPT OF THE WRITTEN NOTICE REQUIRED BY SUBSECTION A OF
10 THIS SECTION, THE APPLICANT MAY REQUEST AN INDIVIDUALIZED DETERMINATION
11 THAT DEMONSTRATES THE BASIS FOR THE EXACTION BEING IMPOSED ON THE PROPOSED
12 PROJECT. THE INDIVIDUALIZED DETERMINATION SHALL INCLUDE THE METHODOLOGY,
13 SUPPORTING DATA AND ANY INFORMATION THAT IS USED TO DETERMINE THE ADVERSE
14 IMPACT THAT IS ANTICIPATED TO RESULT FROM THE PROPOSED PROJECT AND THE
15 METHOD OF CALCULATING THE EXACTION AMOUNT BASED ON THAT IDENTIFIED ADVERSE
16 IMPACT. THE MUNICIPALITY SHALL PAY FOR THE INDIVIDUALIZED DETERMINATION
17 REQUIRED PURSUANT TO THIS SUBSECTION.

18 C. THE MUNICIPALITY SHALL PROVIDE THE COMPLETED INDIVIDUALIZED
19 DETERMINATION REQUIRED PURSUANT TO SUBSECTION B OF THIS SECTION WITHIN
20 SIXTY DAYS AFTER RECEIVING THE REQUEST FROM THE APPLICANT FOR THE
21 INDIVIDUALIZED DETERMINATION. UNLESS AN APPLICANT FILES AN APPEAL, THE
22 INDIVIDUALIZED DETERMINATION SHALL BE THE FINAL DETERMINATION. IF THE
23 INDIVIDUALIZED DETERMINATION IS NOT COMPLETED AND DELIVERED TO THE
24 APPLICANT WITHIN SIXTY DAYS AFTER RECEIVING THE REQUEST FOR THE
25 INDIVIDUALIZED DETERMINATION FROM THE APPLICANT, THE EXACTION IS DEEMED
26 EXCESSIVE AND IS WAIVED.

27 D. IF AN APPLICANT OBJECTS TO THE METHODOLOGY, SUPPORTING
28 INFORMATION OR CONCLUSIONS IN THE INDIVIDUALIZED DETERMINATION, THE
29 APPLICANT MAY ~~[FILE AN]~~ APPEAL [DIRECTLY TO THE ATTORNEY GENERAL. THE

1 ATTORNEY GENERAL SHALL TREAT THE APPEAL AS A REQUEST MADE PURSUANT TO
2 SECTION 41-194.01]. ~~[THE APPEAL MAY BE FILED AT THE TIME THE APPLICANT~~
3 ~~RECEIVES THE INDIVIDUALIZED DETERMINATION PURSUANT TO SUBSECTION C OF THIS~~
4 ~~SECTION OR THE APPLICANT MAY FILE AN APPEAL WITH OTHER MATTERS THAT ARISE~~
5 ~~IN THE PERMIT REVIEW PROCESS THAT IS RELATED TO THE APPLICATION.]~~ IN AN
6 APPEAL, THE MUNICIPALITY HAS THE BURDEN OF PROOF TO DEMONSTRATE THAT THE
7 EXACTION IS ROUGHLY PROPORTIONAL TO THE ADVERSE IMPACT OF THE PROPOSED
8 PROJECT. [IF AN APPLICANT IS SUCCESSFUL IN AN APPEAL, THE ATTORNEY
9 GENERAL SHALL DEEM THE EXACTION EXCESSIVE AND SHALL WAIVE THE EXACTION OR,
10 IF THE APPLICANT HAS PROCEEDED UNDER PROTEST PURSUANT TO SUBSECTION E OF
11 THIS SECTION, THE ATTORNEY GENERAL SHALL DIRECT THE MUNICIPALITY TO
12 COMPENSATE THE APPLICANT FOR ANY COSTS THAT THE APPLICANT HAS EXPENDED IN
13 FURTHERANCE OF THE EXCESSIVE EXACTION.]

14 E. AN APPLICANT MAY ELECT TO PROCEED UNDER PROTEST AND SATISFY A
15 REQUIRED EXACTION WHILE THE EXACTION IS BEING APPEALED. ANY SATISFACTION
16 OF AN EXACTION UNDER PROTEST MAY NOT BE CONSTRUED AS A WAIVER OF ANY
17 OBJECTIONS OR APPEALS OR RIGHT TO JUDICIAL REVIEW OF THE EXACTION. THE
18 MUNICIPALITY MAY NOT REQUIRE THE APPLICANT TO SATISFY THE EXACTION AS A
19 PREREQUISITE TO APPEAL THE VALIDITY OF THE INDIVIDUALIZED DETERMINATION
20 PROVIDED PURSUANT TO SUBSECTION C OF THIS SECTION.

21 F. AN APPLICANT MAY BRING AN ACTION IN AN APPROPRIATE COURT TO
22 CHALLENGE THE VALIDITY OF THE INDIVIDUALIZED DETERMINATION OR THE
23 EXACTION. THE COURT SHALL REVIEW THE EXACTION DE NOVO. THE MUNICIPALITY
24 HAS THE BURDEN OF PROOF TO DEMONSTRATE THAT THE EXACTION IS ROUGHLY
25 PROPORTIONAL TO THE ADVERSE IMPACT OF THE PROPOSED PROJECT. THE COURT
26 SHALL AWARD COMPENSATORY DAMAGES AND ATTORNEY FEES TO A PREVAILING
27 APPLICANT THAT BRINGS AN ACTION PURSUANT TO THIS SUBSECTION.

28 G. FOR THE PURPOSES OF THIS SECTION:

29 1. "EXACTION":

30 (a) MEANS ANY FEE, DEDICATION OR CONDITION THAT IS IMPOSED BY A
31 MUNICIPALITY ON AN APPLICANT OR PROPERTY OWNER AS A CONDITION OF GRANTING
32 A PERMIT OR OTHER APPROVAL FOR THE PROPOSED PROJECT.

33 (b) DOES NOT INCLUDE[;]

34 (i) DEVELOPMENT FEES COLLECTED PURSUANT TO SECTION 9-463.05.

35 [(ii)] FEES FOR MUNICIPAL SERVICES[.] ~~[OR]~~

36 [(iii)] REGULAR PERMIT APPLICATION FEES.

37 2. "INDIVIDUALIZED DETERMINATION" MEANS A WRITTEN ANALYSIS THAT IS
38 SPECIFIC TO THE PROPOSED PROJECT TO ASSESS WHETHER AN EXACTION, INCLUDING
39 A DEVELOPMENT OR MITIGATION FEE, IS ROUGHLY PROPORTIONAL IN NATURE AND
40 EXTENT TO THE ADVERSE IMPACTS OF THE PROPOSED PROJECT.

41 3. "PROPOSED PROJECT" ~~[=~~

42 ~~(a)]~~ MEANS ANY APPLICATION FOR USE OR DEVELOPMENT OF [RESIDENTIAL]
43 REAL PROPERTY.

44 ~~[(b) INCLUDES RESIDENTIAL, COMMERCIAL, RECREATIONAL, AGRICULTURAL,~~
45 ~~AND INDUSTRIAL USE OR DEVELOPMENT.]~~

1 Sec. 2. Title 11, chapter 6, article 1, Arizona Revised Statutes,
2 is amended by adding section 11-810.02, to read:

3 11-810.02. Exactions; mitigation costs; individualized
4 determination; appeal; protest; definitions

5 A. NOTWITHSTANDING ANY OTHER LAW, A COUNTY MAY NOT IMPOSE AN
6 EXACTION ON AN APPLICANT FOR ANY PROPOSED PROJECT WITHOUT A WRITTEN NOTICE
7 TO THE APPLICANT OF THE REQUIRED EXACTION.

8 B. ON RECEIPT OF THE WRITTEN NOTICE REQUIRED BY SUBSECTION A OF
9 THIS SECTION, THE APPLICANT MAY REQUEST AN INDIVIDUALIZED DETERMINATION
10 THAT DEMONSTRATES THE BASIS FOR THE EXACTION BEING IMPOSED ON THE PROPOSED
11 PROJECT. THE INDIVIDUALIZED DETERMINATION SHALL INCLUDE THE METHODOLOGY,
12 SUPPORTING DATA AND ANY INFORMATION THAT IS USED TO DETERMINE THE ADVERSE
13 IMPACT THAT IS ANTICIPATED TO RESULT FROM THE PROPOSED PROJECT AND THE
14 METHOD OF CALCULATING THE EXACTION AMOUNT BASED ON THAT IDENTIFIED ADVERSE
15 IMPACT. THE COUNTY SHALL PAY FOR THE INDIVIDUALIZED DETERMINATION
16 REQUIRED PURSUANT TO THIS SUBSECTION.

17 C. THE COUNTY SHALL PROVIDE THE COMPLETED INDIVIDUALIZED
18 DETERMINATION REQUIRED PURSUANT TO SUBSECTION B OF THIS SECTION WITHIN
19 SIXTY DAYS AFTER RECEIVING THE REQUEST FROM THE APPLICANT FOR THE
20 INDIVIDUALIZED DETERMINATION. UNLESS AN APPLICANT FILES AN APPEAL, THE
21 INDIVIDUALIZED DETERMINATION SHALL BE THE FINAL DETERMINATION. IF THE
22 INDIVIDUALIZED DETERMINATION IS NOT COMPLETED AND DELIVERED TO THE
23 APPLICANT WITHIN SIXTY DAYS AFTER RECEIVING THE REQUEST FOR THE
24 INDIVIDUALIZED DETERMINATION FROM THE APPLICANT, THE EXACTION IS DEEMED
25 EXCESSIVE AND IS WAIVED.

26 D. IF AN APPLICANT OBJECTS TO THE METHODOLOGY, SUPPORTING
27 INFORMATION OR CONCLUSIONS IN THE INDIVIDUALIZED DETERMINATION, THE
28 APPLICANT MAY ~~[FILE AN] APPEAL [DIRECTLY TO THE ATTORNEY GENERAL. THE~~
29 ~~ATTORNEY GENERAL SHALL TREAT THE APPEAL AS A REQUEST MADE PURSUANT TO~~
30 ~~SECTION 41-194.01]. [THE APPEAL MAY BE FILED AT THE TIME THE APPLICANT~~
31 ~~RECEIVES THE INDIVIDUALIZED DETERMINATION PURSUANT TO SUBSECTION C OF THIS~~
32 ~~SECTION OR THE APPLICANT MAY FILE AN APPEAL WITH OTHER MATTERS THAT ARISE~~
33 ~~IN THE PERMIT REVIEW PROCESS THAT IS RELATED TO THE APPLICATION.] IN AN~~
34 ~~APPEAL, THE COUNTY HAS THE BURDEN OF PROOF TO DEMONSTRATE THAT THE~~
35 ~~EXACTION IS ROUGHLY PROPORTIONAL TO THE ADVERSE IMPACT OF THE PROPOSED~~
36 ~~PROJECT. [IF AN APPLICANT IS SUCCESSFUL IN AN APPEAL, THE ATTORNEY~~
37 ~~GENERAL SHALL DEEM THE EXACTION EXCESSIVE AND SHALL WAIVE THE EXACTION OR,~~
38 ~~IF THE APPLICANT HAS PROCEEDED UNDER PROTEST PURSUANT TO SUBSECTION E OF~~
39 ~~THIS SECTION, THE ATTORNEY GENERAL SHALL DIRECT THE COUNTY TO COMPENSATE~~
40 ~~THE APPLICANT FOR ANY COSTS THAT THE APPLICANT HAS EXPENDED IN FURTHERANCE~~
41 ~~OF THE EXCESSIVE EXACTION.]~~

42 E. AN APPLICANT MAY ELECT TO PROCEED UNDER PROTEST AND SATISFY A
43 REQUIRED EXACTION WHILE THE EXACTION IS BEING APPEALED. ANY SATISFACTION
44 OF AN EXACTION UNDER PROTEST MAY NOT BE CONSTRUED AS A WAIVER OF ANY
45 OBJECTIONS OR APPEALS OR RIGHT TO JUDICIAL REVIEW OF THE EXACTION. THE
46 COUNTY MAY NOT REQUIRE THE APPLICANT TO SATISFY THE EXACTION AS A

1 PREREQUISITE TO APPEAL THE VALIDITY OF THE INDIVIDUALIZED DETERMINATION
2 PROVIDED PURSUANT TO SUBSECTION C OF THIS SECTION.

3 F. AN APPLICANT MAY BRING AN ACTION IN AN APPROPRIATE COURT TO
4 CHALLENGE THE VALIDITY OF THE INDIVIDUALIZED DETERMINATION OR THE
5 EXACTION. THE COURT SHALL REVIEW THE EXACTION DE NOVO. THE COUNTY HAS
6 THE BURDEN OF PROOF TO DEMONSTRATE THAT THE EXACTION IS ROUGHLY
7 PROPORTIONAL TO THE ADVERSE IMPACT OF THE PROPOSED PROJECT. THE COURT
8 SHALL AWARD COMPENSATORY DAMAGES AND ATTORNEY FEES TO A PREVAILING
9 APPLICANT THAT BRINGS AN ACTION PURSUANT TO THIS SUBSECTION.

10 G. FOR THE PURPOSES OF THIS SECTION:

11 1. "EXACTION":

12 (a) MEANS ANY FEE, DEDICATION OR CONDITION THAT IS IMPOSED BY A
13 COUNTY ON AN APPLICANT OR PROPERTY OWNER AS A CONDITION OF GRANTING A
14 PERMIT OR OTHER APPROVAL FOR THE PROPOSED PROJECT.

15 (b) DOES NOT INCLUDE[.:

16 (i) DEVELOPMENT FEES COLLECTED PURSUANT TO SECTION 11-1102.

17 (ii)] FEES FOR COUNTY SERVICES[.] [OR]

18 [(iii)] REGULAR PERMIT APPLICATION FEES.

19 2. "INDIVIDUALIZED DETERMINATION" MEANS A WRITTEN ANALYSIS THAT IS
20 SPECIFIC TO THE PROPOSED PROJECT TO ASSESS WHETHER AN EXACTION, INCLUDING
21 A DEVELOPMENT OR MITIGATION FEE, IS ROUGHLY PROPORTIONAL IN NATURE AND
22 EXTENT TO THE ADVERSE IMPACTS OF THE PROPOSED PROJECT.

23 3. "PROPOSED PROJECT" [:

24 (a)] MEANS ANY APPLICATION FOR USE OR DEVELOPMENT OF [RESIDENTIAL]
25 REAL PROPERTY.

26 [(b) INCLUDES RESIDENTIAL, COMMERCIAL, RECREATIONAL, AGRICULTURAL,
27 AND INDUSTRIAL USE OR DEVELOPMENT.]

28 Enroll and engross to conform

29 Amend title to conform

WARREN PETERSEN

~~1787FloorPETERSEN.docx~~

~~02/26/2026~~

~~10:15 AM~~

~~C: LAT~~

~~130XSAXJL~~

1787FloorPETERSEN.2.docx

02/26/2026

11:02 AM

S: JT/ci

130XSAXJL